



Retail Inventory Key Metrics

💰 Revenue & Profitability

Revenue

- *Meaning:* Total money earned from sales.
- *Formula:* $\text{Revenue} = \text{Units Sold} \times \text{Selling Price}$

Procurement (Purchase Value)

- *Meaning:* Total money spent to buy inventory.
- *Formula:* $\text{Procurement} = \text{Units Purchased} \times \text{Purchase Price}$

COGS (Cost of Goods Sold)

- *Meaning:* Cost of the inventory that was actually sold.
- *Formula:* $\text{COGS} = \text{Opening Inventory} + \text{Purchases} - \text{Closing Inventory}$

Gross Profit

- *Meaning:* Profit made after covering product costs.
- *Formula:* $\text{Gross Profit} = \text{Revenue} - \text{COGS}$

Gross Profit Margin

- *Meaning:* Percentage of revenue kept as profit.
 - *Formula:* $\text{Gross Profit Margin} = (\text{Gross Profit} \div \text{Revenue}) \times 100$
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Inventory & Efficiency

Average Inventory

- *Meaning:* Average stock held during the period.
- *Formula:* $(\text{Opening Inventory} + \text{Closing Inventory}) \div 2$

Inventory Turnover

- *Meaning:* How many times inventory is sold during the period.
- *Formula:* $\text{COGS} \div \text{Average Inventory}$

DOI (Days of Inventory)

- *Meaning:* How many days inventory stays before selling.
- *Formula: For Annual:* $(\text{Average Inventory} \div \text{COGS}) \times 365$
For Monthly: $(\text{Average Inventory} \div \text{COGS}) \times 30$

Stock-to-Sales Ratio

- *Meaning:* Inventory level compared to sales level.
 - *Formula:* $\text{Average Inventory} \div \text{Revenue}$
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Performance & Return Metrics

GMROI (Gross Margin Return on Inventory Investment)

- *Meaning:* Profit earned for every unit of inventory investment.
- *Formula:* $\text{Gross Profit} \div \text{Average Inventory}$

Sell-Through Ratio

- *Meaning:* % of inventory sold out of what was available.
 - *Formula:* $(\text{Units Sold} \div \text{Units Available for Sale}) \times 100$
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